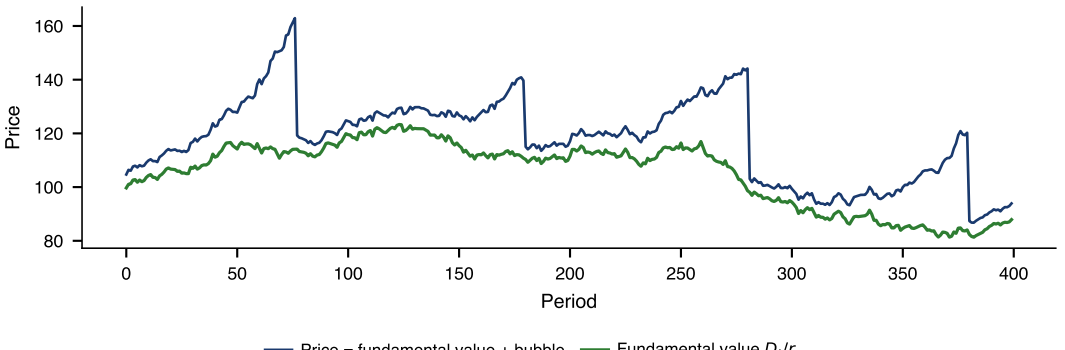
Simulated rational bubble (Evans form): grows at r below δ = 5, above it survives with probability 0.97 or restarts at δ
Price
160
140
120
100
80
0
50
100
150
200
250
300
350
400
Period
Price = fundamental value + bubble
Fundamental value $D_t/r$